bilateral cooperation and India left no stone unturned to extend additional credit facilities to Nepal to ensure the timely completion of phased development programmes. In May 1991, G.P. Koirala took over as the prime minister of Nepal and a month later, P.V. Narasimha Rao became the ninth prime minister of India. MEA papers observed that G.P. Koirala called on Narasimha Rao in New Delhi in December, a trip that had been preceded by four months of active and extensive consultations between the two sides. For the first time, an Indo-Nepal High-Level Task Force was set up, chaired by the cabinet secretary and including the foreign secretary, the finance secretary and the commerce secretary, which prepared a comprehensive programme for bilateral cooperation with an emphasis on the expansion of economic and industrial cooperation. According to the MEA, this was the first time such an approach had been adopted by Nepal and India. The relationship between the two countries steadily improved during the first year of the Narasimha Rao government, although on the security front, the ISI and the network of Kashmiri militants were getting stronger.

Veterans in the spy game believe that King Birendra played a crucial role in helping Kashmiri and Khalistani militants, turning Nepal into a launch pad of terrorism against India. Bipin Govind, an Indian agent, carried out several operations in the small towns of the Terai region, picking up information about the various meetings held by Muslim leaders to chalk out a strategy to rehabilitate Kashmiri militants in various parts of Nepal including Kathmandu. His intelligence reports created turmoil within the security establishment. Govind also watched as propaganda material was distributed among the militants, encouraging them to return to India to wage jihad after spending some time in Nepal.